Northbank Forbearance and Arrears Procedure

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1. Purpose

Sets out how Northbank treats customers in arrears or financial difficulty, consistent with FCA CONC 7 and the Consumer Duty.

2. Arrears stages

Stage	Days past due	Standard next action
Early	1 to 59	Send arrears notice and attempt contact
Late	60 to 89	Refer to Collections
Default	90 or more	Issue default notice

3. Mandatory vulnerability check

Before any referral to Collections or issue of a default notice, the colleague must review the customer's contact and hardship notes for vulnerability indicators. If any indicator is present, the standard next action must not be taken. Instead: (a) pause collections activity for 30 days (breathing space), (b) refer the case to the Specialist Support Team, and (c) consider forbearance under section 4. See the Vulnerable Customer Procedure.

4. Forbearance options

Option	Limits
Reduced payment plan	Up to 6 months, then review
Payment holiday	Maximum 3 months
Interest and charges freeze	Up to 6 months, then review
Term extension	Personal loans only, maximum 24 additional months

Every arrangement must be reviewed at least every 6 months. Arrangements must be affordable based on an up-to-date income and expenditure assessment.

5. Prohibited actions

Northbank does not sell debt of customers flagged as vulnerable to third parties, and does not add default charges during an active forbearance arrangement.